reports showed a general disenchantment with the ruling UPA, but the Opposition appeared to be in disarray, with no strong candidate to lead the charge.

The results announced on 16 May, a Saturday, took the nation by surprise. The Congress had returned with an even stronger mandate, bagging 220-plus seats on its own. More importantly for the market, this time the Congress would not be at the mercy of the Left parties that had supported the UPA from outside for much of its previous tenure and had hobbled the government from pursuing major economic reforms.

The market move on Monday stunned everybody. Within 30 seconds of start of trading, indices leapt to the upper end of the 10 per cent intra-day circuit filter, and trading was suspended for an hour, as per SEBI rules. When trading resumed, it took only another 60 seconds before the indices surged another 5 per cent, and trading was halted for the day. The Sensex rose a whopping 2,100 points to close at 14,284, and the Nifty gained 651 points to close at 4,323.

It was the first time in the history of the Indian stock market that trading had to be halted because of indices hitting the upper end of the intra-day circuit filter. Life seemed to have come a full circle for the UPA government. Exactly five years ago, on 17 May, a tactless remark by CPI leader A. B. Bardhan soon after the UPA victory had sent the market crashing to the lower end of the circuit filter, suspending trading for the rest of the session.

Both indices cooled off over the following week, but sentiment had improved considerably by then. FIIs bought shares for Rs 20,600 crore in the net in May alone, which was seen as a vote of confidence by global investors in the India story.

The dramatic turnaround in sentiment and the recovery in share prices also caused heartburn in some quarters. On 14 May, DLF promoters sold a 9.9 per cent stake in the company to a clutch of institutional investors for Rs 3,860 crore, which worked out to Rs 232 per share. This was less than half its IPO price of Rs 525 less than two years ago. At the peak of the bull run, the stock had touched a high of Rs 1,200. That now seemed very long ago.

The founders used the funds from the stake sale to buy out private equity firm DE Shaw’s stake in group company DLF Assets Limited and also to infuse fresh funds into it. This decision would turn out to be troublesome for the promoters just two trading sessions later.